From: **Scott Galloway & Ed Elson** profgmedia+markets-newsletter@substack.com
Subject: Why Are Markets Hitting Record Highs?
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PROF G MARKETS
NEWSLETTER EDITION
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Why Are Markets Hitting Record Highs?

Three reasons stocks keep ripping through a war

PROF G MARKETS, SCOTT GALLOWAY, ED ELSON, AND MIA SILVERIO

APR 20

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TODAY'S NUMBER

100

Sally Ride, the first American woman in space, was asked by NASA engineers if 100 tampons would be enough for her week-long voyage.

1. If the news is bad, why are stocks at all-time highs?
2. AI's newest obstacle is … humanity
3. The real reason Amazon is buying Globalstar, plus a check-in on Prof G Media's stock pick of 2026

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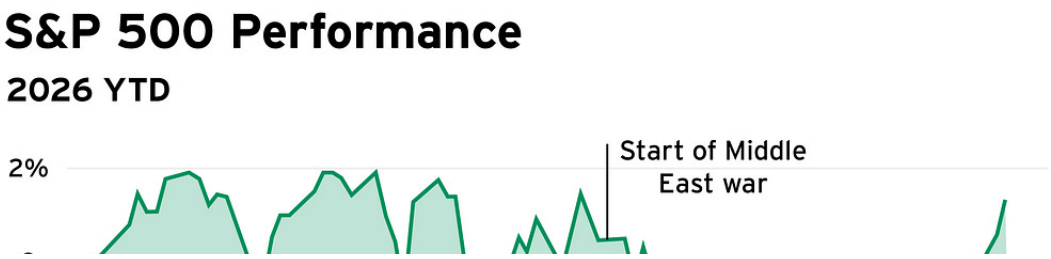
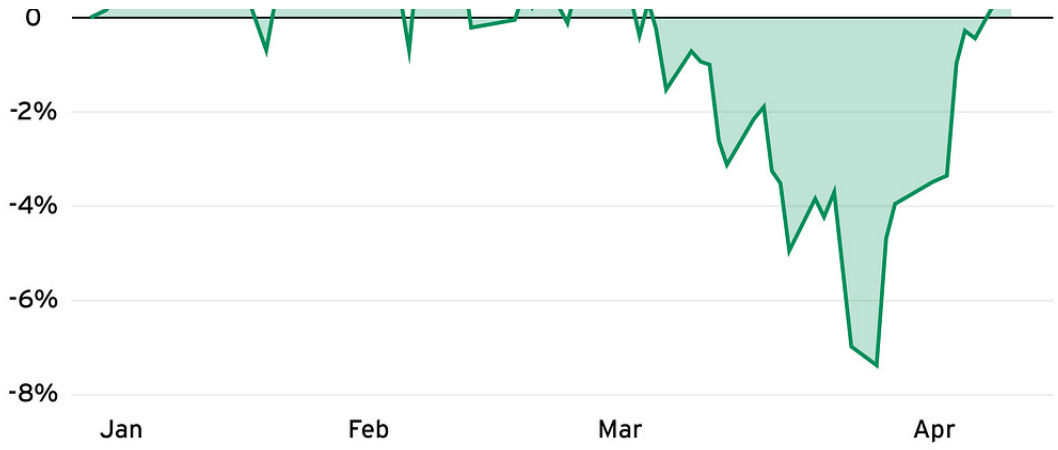
1

Why Markets Are Ignoring the Iran Crisis

Last week, **peace talks** with Iran collapsed, the U.S. **blockaded** the Strait of Hormuz, and the International Monetary Fund warned that further disruptions in oil markets could raise the risk of a **global recession**.

Still, the S&P 500 and Nasdaq both hit fresh **all-time highs**. With so much uncertainty, why are markets so bullish?





Source: LSEG

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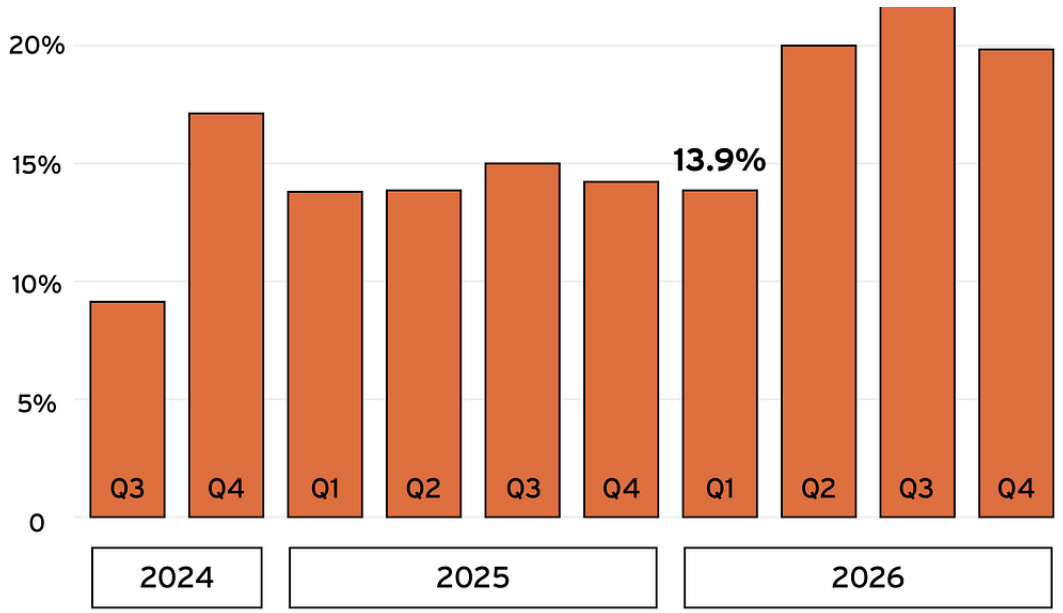
There are a couple potential explanations. First, historically, **wars aren't *that* bad for U.S. markets**. The U.S. is isolated geographically and insulated by having the largest and most liquid financial markets in the world. During times of uncertainty, the American equity and credit markets are seen as **safe havens.**

The average U.S. stock market decline during 30 major geopolitical events since 1939 was just **4%**, and stocks typically **bounced back** within six weeks.

- One year later, outcomes improved even more: the S&P 500 posted **double-digit gains** in the 12 months following Pearl Harbor, the Cuban missile crisis, the John F. Kennedy assassination, and the start of the Israel-Hamas war.

Second, company earnings are strong. The S&P 500 just posted its fifth consecutive quarter of **double-digit earnings growth** — the last time that happened was in 2018.

S&P 500 Annual Earnings Growth



Note: Estimates as of April 10, 2026
Source: LSEG

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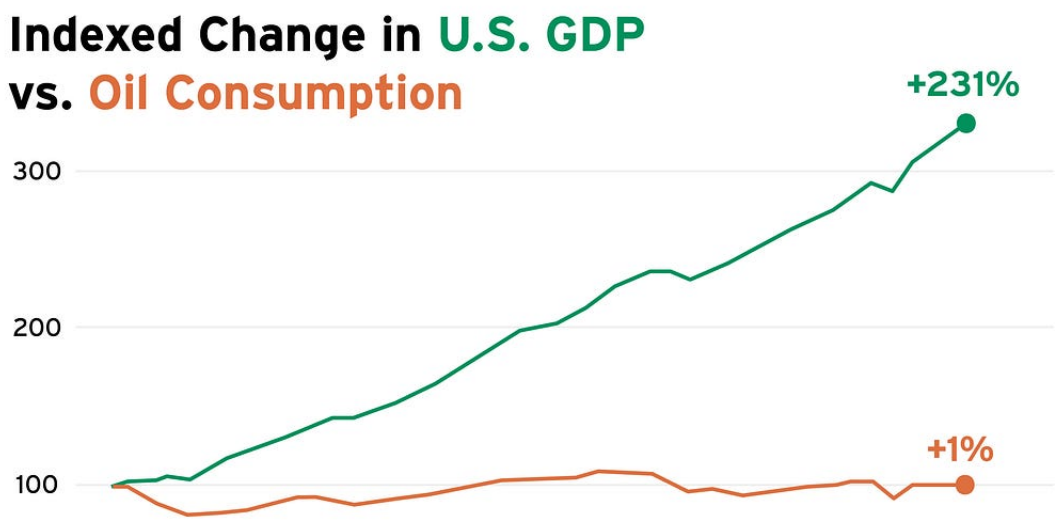
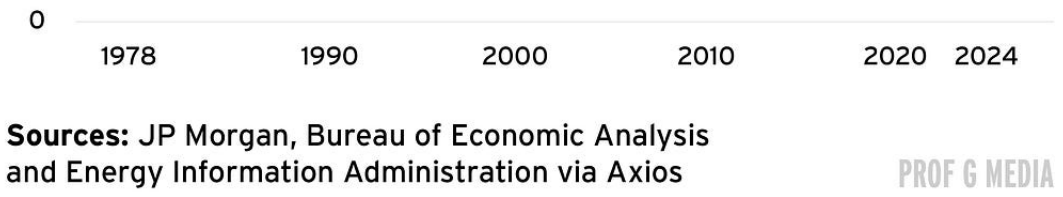
Third, **rising gas prices** may be affecting big companies and consumer spending **less** than expected. In the 1970s, spikes in oil prices triggered a recession. But since then, the U.S. economy has grown less dependent on oil: GDP has **tripled**, while oil consumption has stayed about **the same**.





Furthermore, **consumer spending** now hinges more on the **wealthy** than the middle class, and high-income consumers are less affected by energy costs.

The top 10% of earners account for **half** of consumer spending, or a third of GDP, and the highest-income quintile spends only **2% of their budget** on **gasoline**. That's compared with low income households that spend nearly 20% of their budgets on gas.

SCOTT'S TAKE

I've been calling this the **ketamine economy.** Ketamine is dissociative. You leave your body and watch your life from the outside. That's exactly what the Dow and the Nasdaq do. They give the **illusion** that society is doing well, but they're not a measure of prosperity. They're a proxy for earnings and the wealth of the top 10%.

Think about what's actually driving this market. Fifty percent of consumer spending comes from the top 10%. Do they care that gas is $6 a gallon? **It doesn't register.** Tech dominates the market indexes. What does chaos in the Strait of Hormuz do to Nvidia's margins? **Nothing.**

In addition, there's this phenomenon of **buying the dip**. If you look at the last four major exogenous events, the Gulf War, 9/11, the Iraq War, and COVID, basically, there was a dip and then the markets ripped back the following year.

We did have a drawdown here in March, but it's rebounded since. I think what's happening is the **cycle time** between fear and uncertainty around a war and the opportunity to buy is **compressing**. Now people are like*, let's move to the part of the program where we make money.*

ED'S TAKE

Let me break down what's actually happened in the markets. Year to date, the biggest winners were **industrials**, **materials**, and **energy**. That made sense — war in the Middle East, oil prices surge, and energy stocks move higher.

On March 30, we hit the market bottom. Since then, it's completely reversed. Energy is down 11%. Meanwhile, financials are up 8%, **communication services** up 10%, **tech** up 21%.

So what happened? For weeks, investors were doing **what you'd expect.** They were pricing in the risk of the Iran war. Then something switched. I call it **timeline fatigue.** The Iran story kept producing plot points with no resolution. Ceasefire, then no ceasefire. Blockade, then no blockade. Trump says negotiations are going somewhere, then they don't. At a certain point, investors just **gave up** trying to interpret the headlines.

When investors stopped looking at the **geopolitics**, they looked at the **fundamentals**. Earnings are strong, guidance is strong. Microsoft and Nvidia are trading at some of their lowest forward multiples in years. Suddenly the math was simple: Big Tech is executing, multiples are attractive, let's buy.

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2

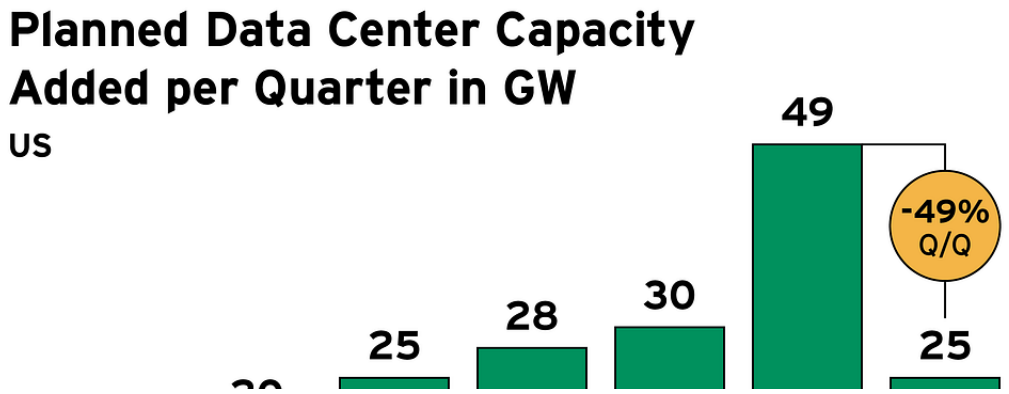
The AI Industry Faces a New Threat: An Angry Public

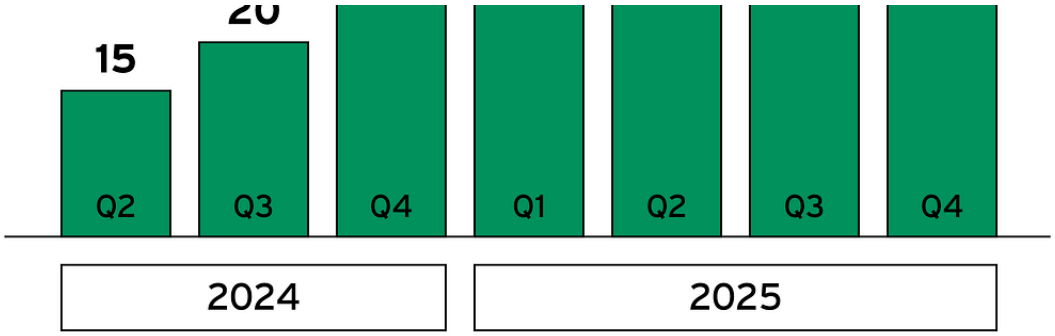
The AI backlash is turning **violent**. On April 10, a man threw an incendiary device at OpenAI CEO Sam Altman's house, and then went to OpenAI headquarters and **threatened to burn it down**. A few days earlier, a gunman fired 13 rounds into the front door of an Indianapolis councilman's home. The perpetrator left a note that read **"No Data Centers."**

Americans are making it increasingly clear they don't like where AI is headed.

Data centers, the most physical manifestations of AI, are an obvious target. Last year, **48 data center projects**, representing at least **$156 billion** in investment, were blocked or stalled by local opposition, predominantly in the form of peaceful protests.

Anti-AI sentiment is starting to **shape policy:** Maine just introduced a bill to ban data centers altogether, joining 11 other states with active bills proposing restrictions or outright bans.





Sources: Wood Mackenzie US Data Center Pipeline Report, Paul Kedrosky

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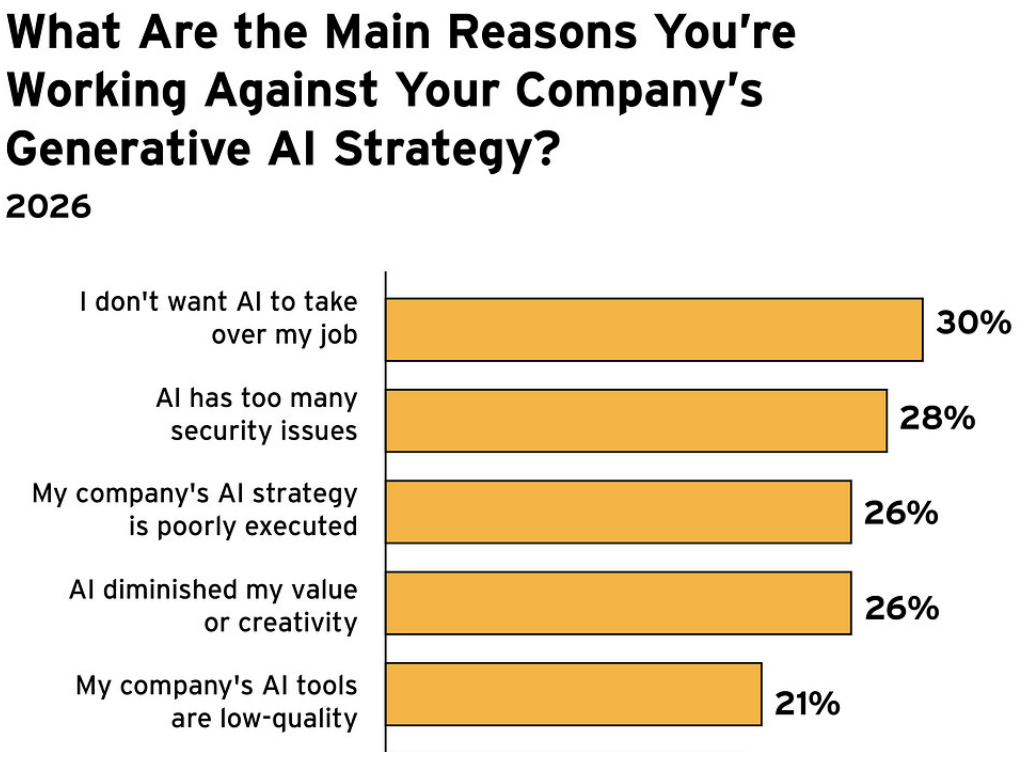
Opposing data centers is one of the few topics popular on **both sides of the aisle**. Of the elected officials who've taken positions against AI data centers, 55% are Republicans and 45% are Democrats.

Another, perhaps surprising cohort coming out against AI is Gen Z. A recent survey found that 44% of Gen Z admitted to having **sabotaged** their company's AI rollout in some way.



Note: n=2,400 knowledge workers in the US and Europe
Sources: Writer, Workplace Intelligence

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ED'S TAKE

This isn't really about AI — it's about **inequality**, and AI has become the most visible symbol of it.

The top 19 households in America own 2% of all wealth, up from 0.1% just 40 years ago. We have more **private security guards** in this country than **high school teachers**. Now you have this technology that promises to reshape the entire economy, and the **people positioned to benefit** are the **same people** who already own everything. Meanwhile, local communities are watching their electricity bills go up to power data centers they had no say in building.

That's the context for the violence. And when you look at the reaction online, it mirrors the **Luigi Mangione response**. People sending support, asking about bail funds. That's not fringe behavior. That's a signal about where a meaningful portion of the country actually is.

SCOTT'S TAKE

There's **no justifying the violence**. Full stop. And I'd push back a little on the idea that this is specifically an AI problem. Historically, public figures have been targets of violence. One in three presidents has been shot at. The difference is, **CEOs are now famous**. Nobody knew who CEOs were

The difference is, **CEOs are now famous.** Nobody knew who CEOs were when I was growing up. Now they're the figureheads of the American economy, and that makes them targets. Oh, and there's access to assault weapons and guns at every f*cking corner.

But separate from the violence, there's a real story here about **brand collapse**. Sam Altman used to be the tech CEO we actually wanted. He spoke in hushed tones to Congress about the dangers of the thing he was building. He didn't own equity in OpenAI. He was going to save us from AI while building it responsibly.

Then **the mask slipped.** He started sh*tposting Microsoft. He compared data center energy use to the calories it takes to raise a child, essentially telling critics to stop complaining. Then Marc Andreessen started saying he doesn't believe in reflection, only forward momentum. These are not people who are winning hearts and minds.

The result is that AI's brand has collapsed, and it's **self-inflicted.**

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Amazon Buys Globalstar in $11.6 Billion Satellite Deal

Last week, Amazon announced it will acquire satellite communications firm Globalstar for **$11.57 billion**. Globalstar's infrastructure will help accelerate Amazon's plans to develop its own satellite network, deemed **Amazon Leo.**

Satellite System		Current Satellites in Orbit	Planned/ Authorized
STARLINK	Starlink (SpaceX)	~10,000	Up to 1M
eutelsat ONEWEB eutelsat group	OneWeb	~650	–
amazon leo	Project Leo	240	3,236
Globalstar	Globalstar	24	32

Source: Company statements via Reuters

On news of the deal, Amazon's shares increased almost **4%,** adding almost **$100 billion** in market capitalization — essentially paying for the acquisition eight times over. Globalstar shares rose almost **10%.**

Still, the deal will be Amazon's second-largest acquisition after Whole Foods, and it wasn't cheap, especially given the size of Globalstar's business. Globalstar operates just 24 satellites and has never been profitable.

So, why is Amazon paying so much for an **unprofitable** satellite company?

Amazon isn't buying Globalstar for its 24 satellites, but rather the **spectrum** that Globalstar owns.

Spectrum refers to the invisible radio frequencies that wireless signals travel on. Some spectra carry Wi-Fi signals, some carry broadcast TV signals, some carry our smartphone data.

There is a **finite amount** of spectra, and the government, specifically the Federal Communications Commission, **auctions off licenses** for them every few years. But since there's a fixed amount, they are **expensive** and **hard to get.** The last auction was in 2022, and Verizon paid more than $50 billion for its licenses.

Amazon wants Globalstar's spectrum so that it can create its own **private**

wireless network. In his annual letter to shareholders, Amazon CEO Andy Jassy described the company's plans to use Amazon Leo to sell Wi-Fi to rural customers, airlines (Amazon already has a contract with Delta), and to integrate it into AWS.

But there's another, even more important angle. Amazon's **industrial robots** and expanding fleet of drones need to **communicate constantly**, and they will be able to operate more efficiently on a private wireless network. Essentially, Amazon's purchase of Globalstar is an **extension** of their **investment in their logistics infrastructure.**

BIG TECH STOCK PICK OF 2026

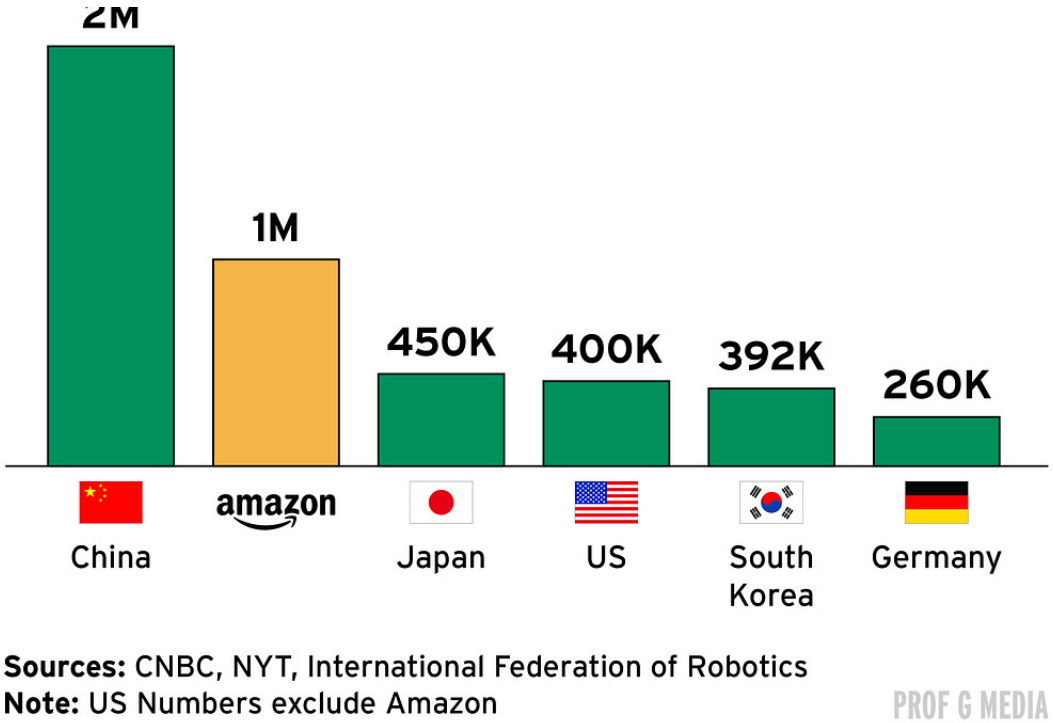
Prof G Media's **Big Tech stock pick of the year** was **Amazon**. Why? Over the past few years, excitement about AI has made it easy to overlook the importance of **hard assets**. But this year, the rise of the **HALO trade** (heavy assets, low obsolescence) has made Amazon the best-performing member of the Magnificent 7.

Amazon's hard assets are its **biggest moat.** It has as many airplanes as the Austrian or Norwegian military (110 aircraft), and more industrial robots in operation than all other companies in the U.S. combined.

These investments in automation are expected to boost productivity by roughly **25%** at fulfillment centers.

Amazon vs. Top 5 Countries

By number of operational industrial robots, 2025



The Allbirds pivot to AI is gonna inspire a bunch of copycats. Think: Kmart AI.

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1. AI knows more about you than you realize
2. The big business of survival bunkers
3. A group of middle-aged caffeine addicts keeps the commodities market running

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